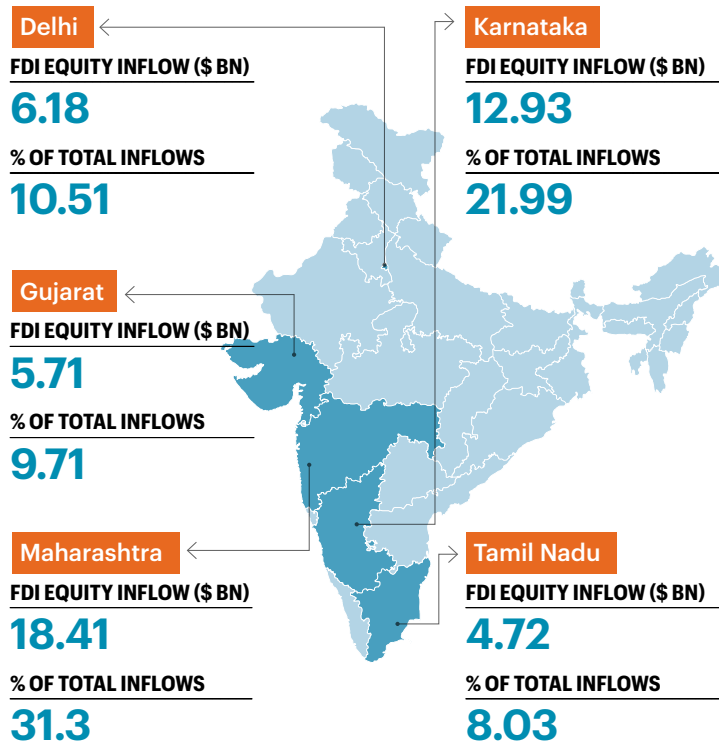


TOP FDI DESTINATIONS

● Maharashtra, Karnataka remain the most sought-after states for FDI



SOURCE DPIIT

WINDS OF CHANGE

● Recent numbers reflect an upswing in manufacturing

10.7%

Growth in manufacturing gross value added in FY26 (yoy)

\$441.8 BN

Value of India's merchandise exports in FY26

\$6.1 BN

Estimated value of grounded projects by Invest India in FY26

2.47 LAKH

Number of companies incorporated in FY26

55

at 12% consistently over the next 25 years. "The share of manufacturing in the economy may have been the same in recent years but there are several positives and the future remains bright. It can slowly grow to 25% in the next decade," he says, noting that internal demand is strong, exports are robust and several reforms have been undertaken by the government to improve the competitiveness of the sector.

A recent report by Morgan Stanley projects India's manufacturing opportunity at \$1.5 trillion by 2035. It outlines three drivers that will lift manufacturing; the active industrial policy since 2019 through

targeted incentives and public capex; efforts to lift India's export share and deepen global supply-chain integration; and multinational firms' diversification strategies, which create opportunities to attract investment and build capacity. Supportive demographics, urbanisation, and improving infrastructure reinforce these trends.

The report highlights that the composition of manufacturing in India has changed over the last five years with competitiveness becoming increasingly concentrated in higher-value, more capital-intensive sectors with stronger global value-chain linkages. Chemicals,

basic and fabricated metals, and refined petroleum products remain structural leaders, but electrical and optical equipment has shown the strongest momentum. At the same time, traditional sectors such as textiles, food, beverages, and tobacco have weakened, underscoring the uneven nature of the transition. "We expect advanced manufacturing sectors such as electronics, defence manufacturing, and energy-transition-related manufacturing to gain share and lift headline manufacturing share," Upasana Chachra, Chief India Economist, Morgan Stanley, says in the report. While questions remain about a full revival